

Reserve Bank of India — Fair Practices Code for Lenders

Official Master Direction | Circular RBI/2006-07/138 DNBS (PD) CC No. 80/03.10.042/2006-07

Section 1: RBI Master Direction - Fair Practices Code (Circular RBI/2006-07/138)

Regulated Entities (REs), including Non-Banking Financial Companies (NBFCs) and Scheduled Commercial Banks, must maintain an explicit, written Fair Practices Code approved by their Board of Directors. All credit applications must be processed objectively with written acknowledgment provided to the applicant.

Section 2: Communication of Reasons for Rejection or Adverse Risk Terms

Lenders are required to convey in writing to the borrower the main reasons for rejection of a loan application or assignment to high-risk subprime categories. The rejection notification must state the key financial variables (e.g., past delinquencies, high DPD history, low income, or excessive bureau inquiries) influencing the adverse decision.

Section 3: Transparent Interest Rate Surcharges & Risk Premium

The rate of interest and the approach for graduation of risk and rationale for charging different rates of interest to different categories of borrowers shall be disclosed transparently in the loan application form and explicitly communicated in the sanction letter.

Section 4: Grievance Redressal Officer (GRO) & Dispute Mechanism

Lenders must designate a Grievance Redressal Officer (GRO) and display contact details prominently. Borrowers dissatisfied with automated risk decisions or adverse underwriting terms have the legal right to submit supplemental verified financial documents for manual officer review.